TEACHER GUIDE DRAFT

Leaving Certificate Business (current syllabus)

Expansion

Unit 5: Business in action
5.4 Reasons and finance for expansion; 5.5.11 Methods of expansion



A revision lesson. Pupils run a car dealership in firms of four and revise expansion on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min | **45 min** | 60 min | 75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Unit cost per car

Round 1

A month of sales.

Unit cost: cost per car sold?

Fixed costs, a month	**€10,800**
Variable costs, a month	**€298,260**
Cars sold a month	**18 cars**

ANSWER

€17,170

(€10,800 + €298,260) ÷ 18 = €17,170

Why: Unit cost is all the costs shared between the cars.

2 Why unit cost rose

Round 1

After a takeover, your cost per car rose.

Which two diseconomies are most likely?

- **A** Poor communication across sites
- **B** Staff less motivated
- **C** Cheaper finance
- **D** Fixed costs spread wider
- **E** Bulk-buying discounts

ANSWER

✓ Poor communication across sites
✓ Staff less motivated

Why: Big firms can lose control and morale; the other three cut costs.

3 Rank unit cost fall

Round 2

Three plans and what they do to cost per car.

Order by % fall in cost per car, biggest first?

- **A** €2,000 down to €1,500
- **B** €8,000 down to €6,800
- **C** €5,000 down to €4,000

ANSWER

1. €2,000 down to €1,500
2. €5,000 down to €4,000
3. €8,000 down to €6,800

Why: Falls of 25%, 20%, 15%: the biggest fall in euros is the smallest %.

Topic tasks

4 Unit cost, doubled

Round 2

Selling twice as many.

Cost per car if sales double?

Fixed costs, a month	**€16,000**
Variable cost per car	**€13,550**
Cars sold now	**16 cars**

ANSWER

€14,050

€16,000 ÷ 32 + €13,550 = €14,050

Why: The fixed costs are shared by 32 cars, not 16.

5 Stop growing?

Round 3

Each new branch cut your cost per car less, and the last one raised it.

What should you do next, and why?

A Stop growing for now

B Keep growing

ANSWER

✔ **Stop growing for now**

Why: Rising cost per car is a sign of diseconomies of scale.

6 Fixed cost spread %

Round 3

Spread the fixed costs.

Fall in cost per car, to the nearest %?

Fixed costs, a month	**€34,020**
Variable cost per car	**€270**
Cars sold now	**14 cars**
Cars sold after growth	**18 cars**

ANSWER

20%

€2,700 → €2,160; fall 20%

Why: The fixed costs are shared by more cars after growth.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Expansion”: the 6 come from these 10 questions.

1 A dealer opens a second branch using its own profits. What kind of expansion is this?
✔ **Organic (internal) growth**

2 Two dealer groups agree to join as one new company of equal partners. What is this?
✔ **A merger**

3 Why might a dealer expand by franchising rather than opening its own branches?
✔ **Franchisees provide the capital and local effort**

4 Which is a reason a dealership might want to expand?
✔ **To gain economies of scale**

5 Costs per car fall from €800 to €650 after expansion. On 400 cars a year, what is the saving?
✔ **€60,000**

6 A dealer buys a rival for €900,000, paying €300,000 from reserves and borrowing the rest at 6% a year. What is the annual interest?
✔ **€36,000**

7 After a takeover, decisions slow and staff feel distant from the owners. What is this?
✔ **A diseconomy of scale**

8 Which source of finance is equity capital for expansion?
✔ **Selling new shares**

9 Which is a method of expansion?
✔ **Buying a rival dealership**

10 A dealer must choose a loan or new shareholders to fund a second site. Which is a drawback of new shareholders?
✔ **Owners share control and future profits**